

A well-diversified portfolio includes cash or cash equivalents (Treasury bills, CDs, money markets, etc.), stocks, bonds, and mutual funds. The latter should include small-cap, mid-cap, and large-cap stocks (more on this to follow). Usually when one sector or type of investment has low returns, another has high returns, so diversifying evens out some of the ups and downs of the market.

A word about cash equivalents. All cash equivalents are not the same. Even though there is a high expectation that cash equivalents are relatively riskless, money market funds outside of FDIC-insured banks (or NCUA-insured credit unions) are not government guaranteed to retain their price. In 2008 some of these funds, which are expected to hold steady at \$1 per share, actually slipped to under \$1 per share, or “broke the buck” when investors withdrew their shares in droves in the wake of the financial crisis. The government did step in temporarily to guarantee these accounts but this guarantee no longer exists.